SENTIENT ADVISORY

Prepared for Nickel Digital

Tokenized Equity Long/Short

Fundamental Relative Value

Own the AI supply chain · beta-neutral, alpha not beta · Nickel DAL-compliant

Research backtest over a single ~3-year AI-bull regime — illustrative, not out-of-sample validated, and not an offer or performance representation. · 2026-06-16

EXECUTIVE SUMMARY

A beta-neutral way to own the AI supply chain's beat-and-raise

The systematic, hedged version of how the AI-frontier crossover funds pick longs — engineered to Nickel's drawdown budget.

3.34	~100%	0.00	–6%
Sharpe — open universe, one AI-bull regime	of return is selection alpha, not beta	net beta — market- and factor-neutral	peak DD (notional) vs –10% notional cap

- **The edge** Systematically own the AI supply chain that's beating-and-raising earnings (EPS surprise + estimate revisions), tilted to picks-and-shovels suppliers; QQQ + SOXL-hedged so the return is selection, not market beta.
- **The discipline** Sized to Nickel's DAL — delta-neutral (net beta ≈ 0), a 10%-notional (20%-NAV) hard stop and a de-risk ladder enforced continuously; the peer cohort that ran net-long without this drew –40% to –56% in 2022.
- **The validation** Coatue's split — 'sellers of the shortage' +107% YTD vs capex 'buyers' +4% — is exactly our long / exclude line; we track 15 AI-frontier funds' full 13F books plus a maturity regime monitor (currently GREEN).

STRATEGY THESIS

Own the companies that SELL the AI buildout — hedged, inside a hard DD cap

- **Open universe** Every tradeable tokenized US-equity perp on Binance, plus new listings as they're discovered, screened to the investable set. Not a hand-picked list — it scales as the platform lists more names.
- **The edge** Systematically own the AI supply chain that's beating earnings (analyst EPS surprise), confirmed by momentum, a valuation tilt and a picks-&-shovels thesis tilt — the quant version of how the AI-frontier crossover funds (Coatue / Altimeter / Tiger / SAA) pick longs.
- **Picks-and-shovels** Own the suppliers that RECEIVE the capex; exclude the hyperscalers that SPEND it. Validated by Coatue: 'sellers of the shortage' +107% YTD vs the capex 'buyers' +4%.
- **Hedged, beta-neutral** QQQ + SOXL neutralize the market and the AI-compute factor — ~100% of the return is selection alpha, not beta.
- **Hard drawdown cap** A 10%-notional (20%-NAV) hard stop, auto-enforced — the discipline the net-long peer cohort lacked (they ran –40% to –56% in 2022).

MECHANICS

How the signal works, operationally

Open universe
Every tokenized US-equity perp on Binance + new listings

›

Investability screen
Analyst coverage + revenue; profitability-agnostic

›

5-leg signal
Beat + raise + momentum + value + thesis tilt

›

Top ~25 book
6 sectors, per-name cap, QQQ+SOXL hedge, beta-neutral

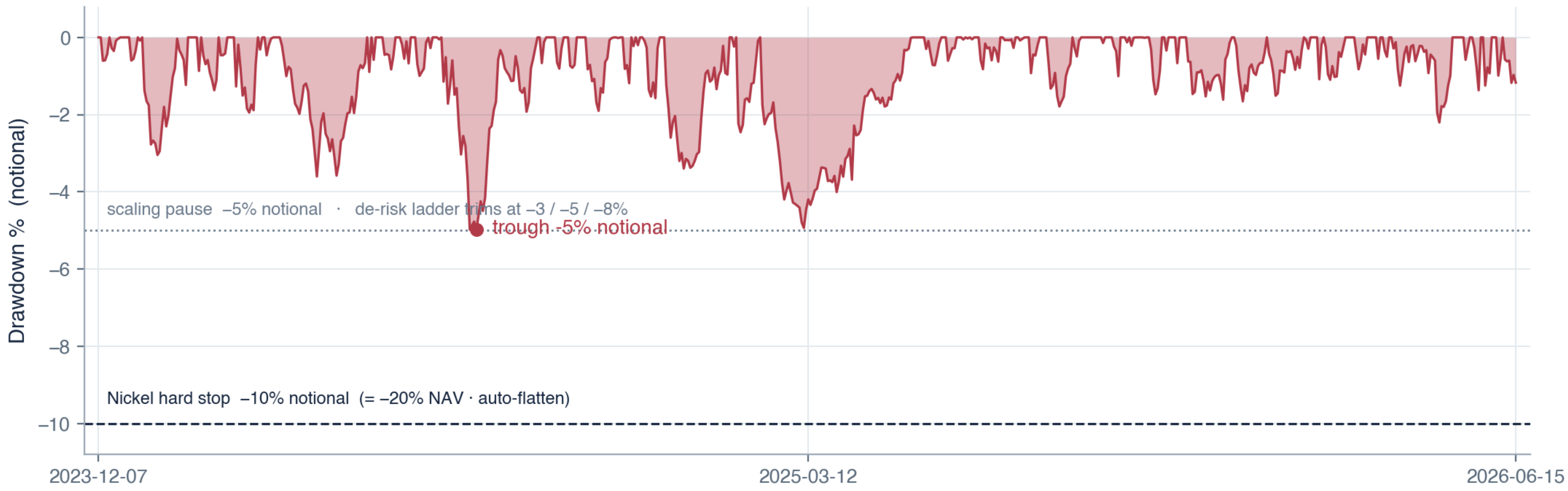
score = 1.0·z(EPS surprise) + 0.5·z(momentum) + 0.5·z(cheap P/E) + 2.0·z(AI-supply thesis) + 0.5·z(EPS revisions) → long the top ~25

- **The screen sets the universe, not the signal** A profitability-AGNOSTIC screen (analyst coverage + revenue) keeps unprofitable hypergrowth winners (CoreWeave, Rocket Lab) and drops speculative shells. The signal only ORDERS within it — naive breadth tanks the book to ~1.6 Sharpe.
- **Beat and raise** EPS surprise (the beat) is fresh information each quarter and ADDS to momentum; the estimate-revisions leg (the raise) and the picks-&-shovels thesis tilt do nothing on an all-supplier set — proof they aren't generic boosters.
- **Sizing (Nickel DAL)** Notional = 2× NAV; gross ≤ 200%; vol-target 10% → ~130% gross (~2.5× NAV). We govern DELTA (net beta ≈ 0) and let face net-notional float — it reads ~34% only because the 3× SOXL hedge's small face belies a large delta hedge; we're delta-flat. Maker TWAP, ~1× turnover.

Smooth compounding within the drawdown budget

Source: Sentient Equity-RV production harness, ~2.5y, maker cost. One AI-bull regime — illustrative, not out-of-sample validated.

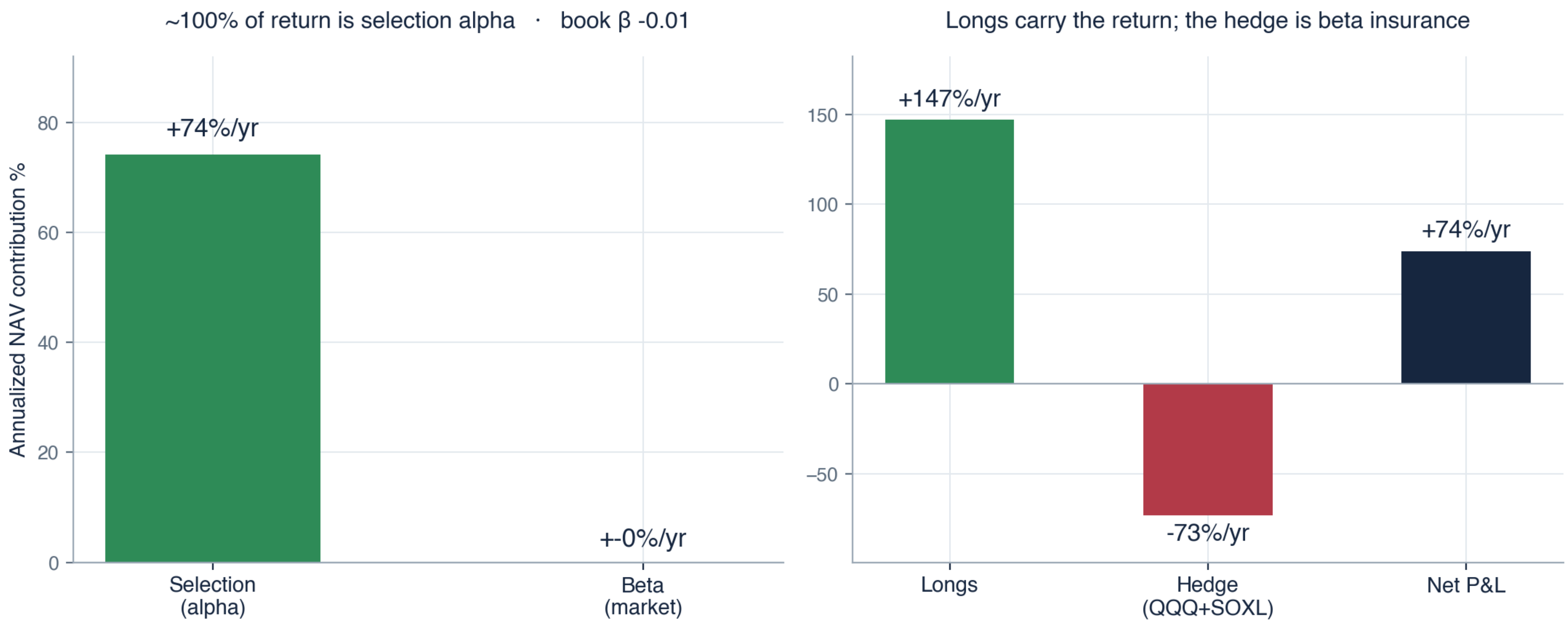
Drawdown stays well inside Nickel's 10% notional hard stop



Source: production harness, shown on NOTIONAL basis (Nickel DAL units; notional = 2x NAV). Peak drawdown -5% notional (= -10% NAV) vs the –10% notional hard stop; the de-risk ladder trims gross at –3 / –5 / –8% notional before the stop.

ATTRIBUTION

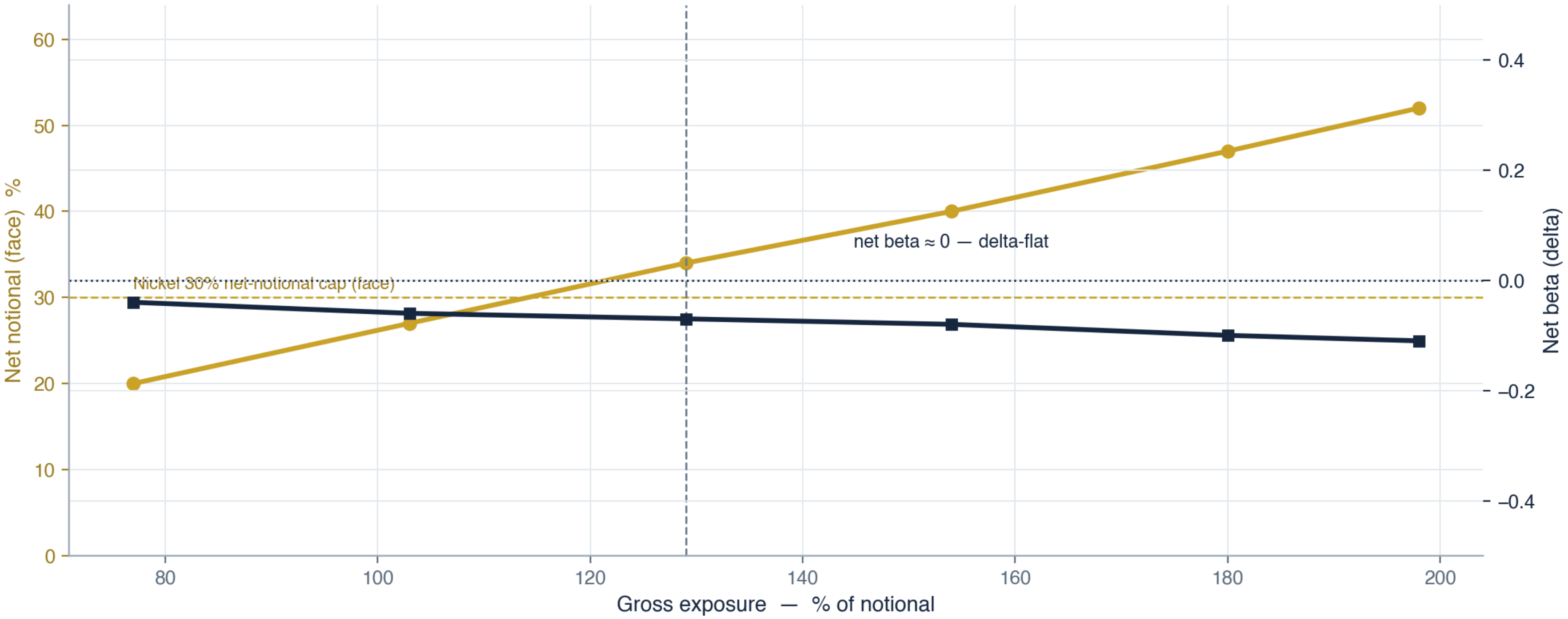
The return is alpha, not levered beta



These are RETURN legs (P&L), not exposures: the book is DELTA-FLAT (β –0.01), so the long / hedge bars are the gross legs of a beta-neutral book and the net is selection alpha — not a directional bet (the next slide shows net beta ≈ 0 even as face net-notional rises). The distinction vs the net-long peer cohort (~0.99 beta to the S&P): our return survives the hedge. Book daily return regressed on SPY; legs from realized P&L, annualized.

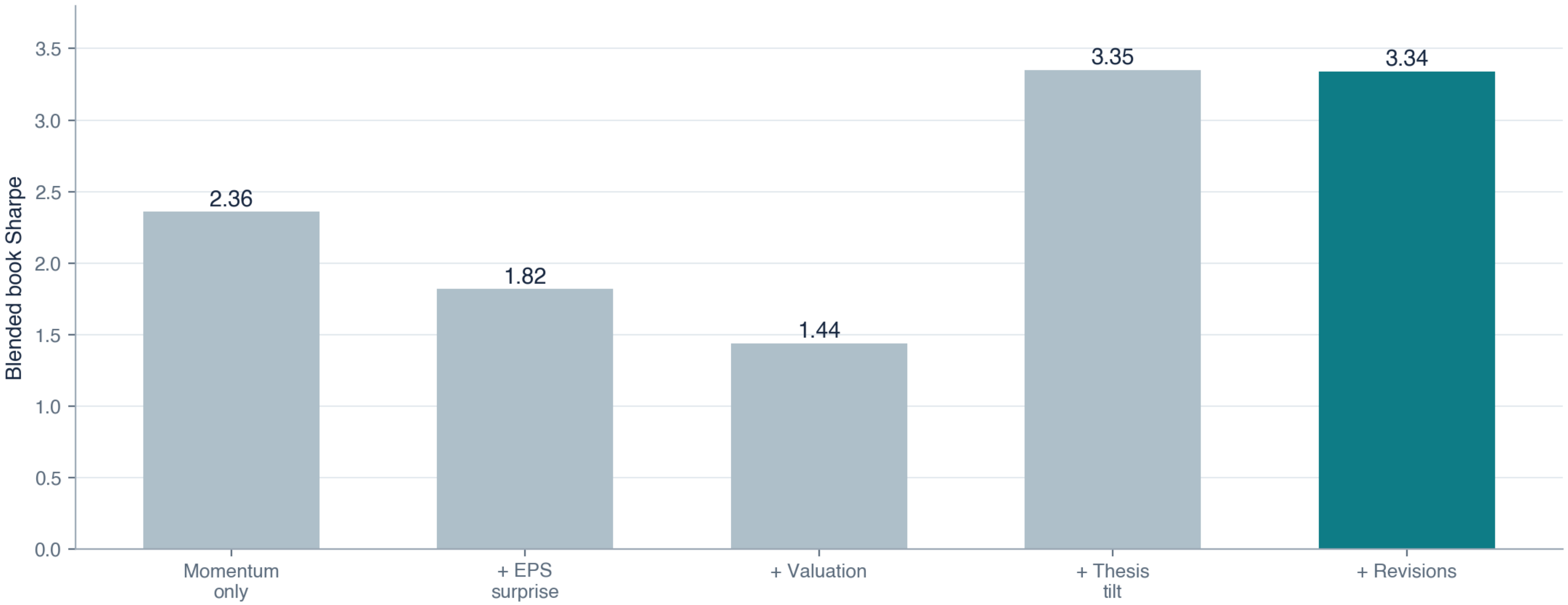
EXPOSURE

Delta-flat: the net-notional figure is a 3× SOXL artifact



As gross scales, FACE net-notional (amber) rises and crosses Nickel's 30% cap — but NET BETA (navy) stays ~0: the book is delta-flat at every gross level. The gap is the hedge — we neutralize beta with 3×-levered SOXL, so a small SOXL face delivers a large delta hedge, and the book reads net-long in face notional while carrying ~zero market exposure. Delta (net beta) is the real risk; the face net-notional is a levered-ETF artifact — the basis on which to assess the book with Nickel.

Each signal leg earns its place — a stacked edge, not a kitchen sink



Source: production harness, open universe, LIVE cumulative leg build-up. EPS-surprise (beat) + cheap valuation + the picks-&-shovels thesis tilt + estimate-revisions (raise) each lift a momentum book; growth / quality-as-a-screen were tested and dropped.

VERSUS THE BETA

Why this, and not just NASDAQ or BTC?

	Ann. return	Volatility	Sharpe	Max DD	Corr vs strategy
Strategy (β-neutral)	**+73%**	**22%**	**3.34**	**–13%**	**—**
NASDAQ-100 (QQQ)	+30%	21%	1.36	–23%	-0.02
Semiconductors (SMH)	+74%	37%	1.69	–36%	+0.02
Bitcoin (BTC)	+12%	40%	0.48	–51%	+0.16

THE TAKEAWAY

Out-returns QQQ and Bitcoin, matches concentrated semis — at ~2× the Sharpe, a fraction of the drawdown, and ~zero correlation.

Drawdowns shown on a capital (NAV) basis for like-for-like comparison with the unlevered benchmarks (Nickel DAL gates are quoted on notional ≈ ½ the NAV figure). The strategy out-returns the NASDAQ-100 and Bitcoin outright and roughly matches concentrated semis (SMH) — but at ~2× the Sharpe (~3.3 vs ~1.4–1.7), a fraction of the drawdown, and ~zero correlation. Delta-neutral, so the return is uncorrelated alpha — ADDITIVE to a book already long the beta, not another way to own it. (In-sample, one AI-bull regime — see caveats.)

THESIS VALIDATION

External validation: Coatue's 'sellers of the shortage'

- Coatue (a $20B+ AI-frontier crossover fund) published our exact split — the market rewards the SELLERS of the shortage, not the buyers:
- **Sellers · +107% YTD** Semis / memory / optics — pricing power, fixed cost base, big EPS revisions. = our long universe (NVDA, AVGO, MRVL, MU, TSM, SK Hynix, WDC, SanDisk, Coherent, Lumentum…).
- **Buyers · +4% YTD** Hyperscalers — high capex, returns over years, modest revisions. = exactly our excluded spenders (Amazon, Google, Meta, Oracle, Microsoft).
- **Their cited driver** 'Big EPS revisions' — which IS our signal: the beat, plus the live raise.

THE STACK

What we own: the AI supply stack, layer by layer

We own every layer that SELLS into the buildout — and exclude the hyperscalers that BUY it.

Compute · GPU die	NVIDIA · AMD
Custom silicon & networking	Broadcom · Marvell
Memory · HBM / DRAM / NAND	Micron · SK Hynix · Samsung · SanDisk · Western Digital
Optical & interconnect	Coherent · Lumentum
Foundry & equipment	TSMC (+ Lam, ASML, Celestica as they list)
Power, cooling & neoclouds	CoreWeave · IREN · Nebius · Bloom Energy
Excluded — capex buyers	*Amazon · Google · Meta · Microsoft · Oracle*

Layer tags from the strategy's ai_role taxonomy. The bottleneck migrates up the stack over time — the regime monitor tracks which layer currently leads, and the signal rotates names as revisions roll.

We track the AI-frontier smart money's full books

- We pull the FULL 13F books of 15 crossover funds that backed the private AI frontier (SpaceX / OpenAI / Anthropic) and also file 13Fs — Coatue, Altimeter, Tiger, Dragoneer, D1, Appaloosa, Whale Rock, Sands, Baillie Gifford, Viking, ARK, Duquesne, Light Street, Atreides, Situational Awareness.
- **Consensus (tradeable now)** Names many hold that we can trade — AMZN / NVDA (13 funds), TSM / GOOGL (11), AVGO / META (10), CoreWeave, Micron, Lumentum…
- **Watch-when-listed** Heavy smart-money names with no perp yet (Lam Research, Celestica, AppLovin) — we onboard the day Binance lists them. Full books future-proof an expanding tradeable universe.
- **Crowded-risk flag** Our 13F tracker confirmed SAA's ~$8.5B of chip puts — a risk read on our largest exposures, surfaced automatically. Cross-check and idea generation, not a mechanical selection input.

Compliant with Nickel's DAL gates

Metric	Strategy (live config)	Nickel DAL gate
Annualized return	+73%	—
Max drawdown (notional)	–6%	> –10% notional (hard stop)
Sharpe	3.34	—
Sortino	5.32	—
Selection alpha share	~100%	the edge, not beta
Net beta (delta)	-0.07	≈ 0 · delta-neutral
Net notional (face)	34%	SOXL-3× inflated; delta-flat
Gross notional	129%	≤ 200% cap (4× NAV)

Net notional (face) reads ~34%, above the 30% cap, ONLY because the hedge is 3×-levered SOXL — a small SOXL face delivers a large delta hedge, so a delta-flat book looks net-long in face terms. On the exposure that matters, DELTA (net beta ≈ 0), we are flat (flag to Nickel). Honest read: in-sample, one AI-bull regime — expect materially less out-of-sample.

Institutional risk controls, enforced in-engine

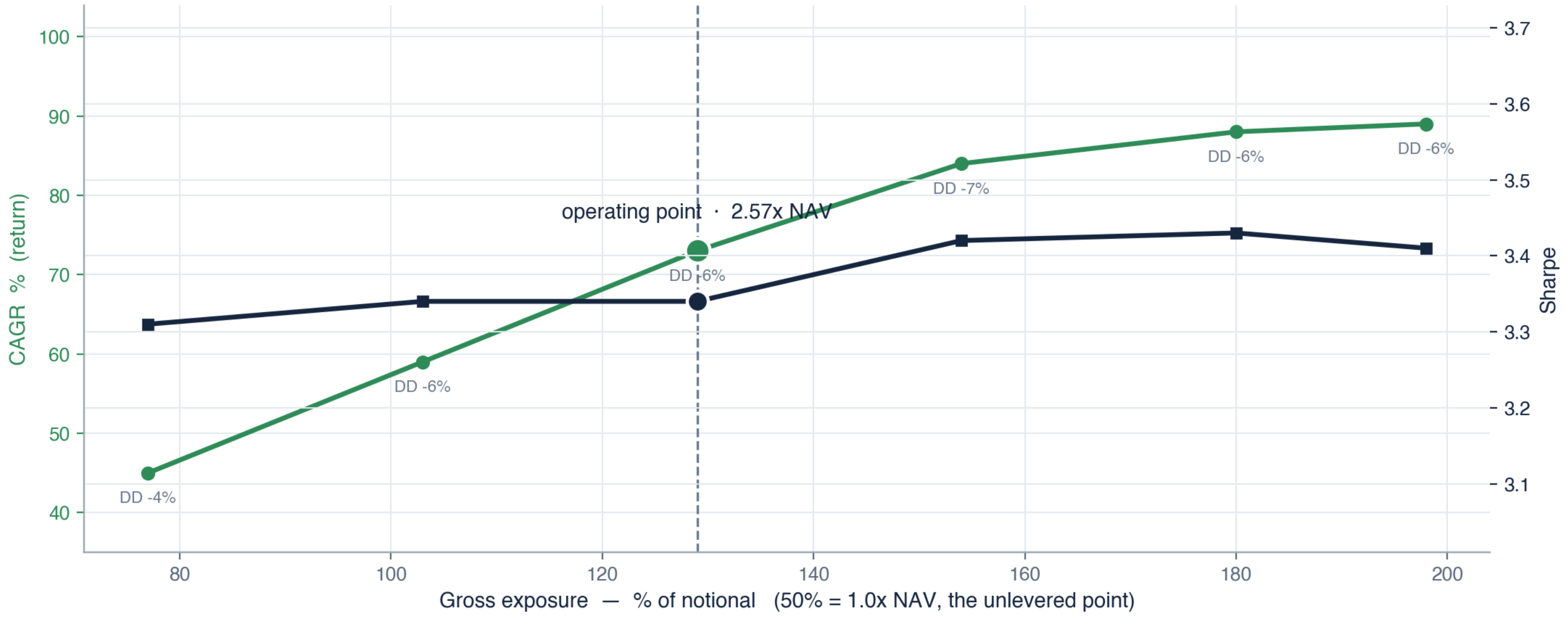
Drawdown is the binding constraint — a de-risk ladder cuts gross before the hard stop:

0–3%	3%	5%	8%	10% notional / 20% NAV
Normal	**Trim**	**Cut**	**De-gross**	**HARD STOP**
Full gross · vol-target 10%	Cut gross one step	Cut gross further	Aggressive de-gross	Auto-flatten the book

- **Sizing (DAL)** Vol-target 10% → ~130% gross (~2.5× NAV), the operating point. We govern DELTA (net beta ≈ 0); face net-notional floats (a 3×-SOXL artifact). Leverage of a delta-neutral book preserves Sharpe (~3.3 across the frontier); we stop at ~130% for OOS prudence, well under the 200% gross + –10% notional DD ceilings. The forward loop enforces the DD ladder continuously, daily.
- **Regime monitor** Leading maturity signals (spread, revisions, layer rotation, 13F, ASP) → GREEN / AMBER / RED with a de-risk playbook.
- **State persistence & safety** HWM survives restarts (the stop never silently resets); at cutover the book inherits the account's used drawdown and starts de-grossed; a read-positions-first sanity gate clamps per-order growth (no doubling); ADL / liquidity caps.
- **Alerting** Telegram on every rebalance / gate-pause / DD / net-notional / regime event, via a dedicated bot.

RISK-RETURN FRONTIER

Sizing leverage deliberately within the DD cap



Because the book is DELTA-NEUTRAL, leverage scales return at ~constant Sharpe (~3.3–3.4 across the frontier) — exactly what theory says: levering a market-neutral book doesn't change risk-adjusted return. The operating point — 129% gross (2.57× NAV), +73% CAGR, Sharpe 3.34, -6% notional DD, net beta ≈ 0 — sits well inside the –10% notional DD + 200% gross ceilings; we stop here for OOS prudence (in-sample, one regime), not because the frontier rolls. Face net-notional rises with gross but is a 3×-SOXL artifact — we stay delta-flat.

PEER POSITIONING

We deliberately give up beta — and the drawdown that comes with it

Fund	2024 / 2025	Net exposure	2022 drawdown
Light Street	+59% / +37%	net long	–54%
Whale Rock	+51% / +27%	net long	–43%
Tiger Global	+24%	high net long	–56%
Coatue	+19%	actively hedged	–19%
Viking (most hedged)	+8.6%	~40% net	best-defended
THIS strategy	**~+73%/yr (1 regime)**	**beta-neutral**	**-13% NAV (cap –20%)**

Cohort beta ~0.99 to the S&P, ~4.2% alpha — 80–90% of the peer headline is net-long BETA. Ours is hedged, beta-neutral selection alpha; and we track their actual 13F books to stay aligned.

Knowing when the trade matures — the regime monitor

- The AI-supply 'sellers of the shortage' trade won't last forever (Gavin Baker: 'the bottleneck trade is nearing its end').
- **Leading signals** Sellers-buyers spread + rate-of-change (Coatue's gauge), seller EPS-revisions (earliest to roll), layer leadership, smart-money 13F rotation, DRAM/NAND ASPs → a GREEN / AMBER / RED state + de-risk playbook.
- **Largely self-correcting** As revisions roll and momentum fades, the signal legs rotate those names out automatically; the monitor makes the turn visible early.
- **The response** AMBER — trim cyclical memory, lift the operator/power layer ('follow the gigawatts'), raise the hedge. RED — DD-ladder de-gross, rotate to operators + durable franchises, max hedge.
- **Now: GREEN** spread +91pp (3mo), pace 34→24 pp/mo; seller revisions +7.2; bid still on the accelerator.

Honest caveats and the path to live

- **One regime** A ~2.5y AI bull; a correction is the untested case — the hedge + hard cap are built for it.
- **In-sample** Conviction-weighted thesis tilt → expect materially less out-of-sample; we report the conservative read.
- **The raise is live** Estimate-revisions leg on a research overlay; a paid estimates feed would add clean point-in-time revision history + the up/down counts free data can't provide (a nice-to-have, not a blocker).
- **Capacity scales** The open universe auto-onboards new tokenized listings as RWA liquidity grows.
- **Ready** Open-universe pipeline (refreshable), production PMS, risk spine (net-notional buffer + regime monitor), 13F tracker, dedicated alerting.
- **Path to live** Short shakedown → flatten crypto → MODE=live (inherit account DD) → scale on the ladder.